

1 ENGROSSED HOUSE
2 BILL NO. 3708

By: Caldwell (Chad) of the
House

3 and

4 Seifried of the Senate
5
6

7 An Act relating to education; amending 68 O.S. 2021,
8 Section 2357.206, as amended by Section 1, Chapter
9 49, O.S.L. 2022 (68 O.S. Supp. 2025, Section
10 2357.206), which relates to the Oklahoma Equal
11 Opportunity Education Scholarship Act; adding grants
12 for capital improvement projects to the definition of
13 a scholarship-granting organization; expanding the
14 definition of educational improvement grant to
15 include the implementation of the Strong Readers Act
16 and the Oklahoma Math Achievement and Proficiency
17 Act; adding grants for capital improvement projects
18 to the definition of an educational improvement grant
19 organization; defining capital improvement project;
20 including educational improvement grants and capital
21 improvement projects in the information required to
22 be submitted to the Oklahoma Tax Commission;
23 providing an effective date; and declaring an
24 emergency.

19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2357.206, as
21 amended by Section 1, Chapter 49, O.S.L. 2022 (68 O.S. Supp. 2025,
22 Section 2357.206), is amended to read as follows:

23 Section 2357.206. A. This act shall be known and may be cited
24 as the "Oklahoma Equal Opportunity Education Scholarship Act".

1 B. 1. Except as provided in subsection G of this section,
2 after August 26, 2011, there shall be allowed a credit for any
3 taxpayer who makes a contribution to an eligible scholarship-
4 granting organization.

5 The credit shall be equal to fifty percent (50%) of the total
6 amount of contributions made during a taxable year, not to exceed
7 One Thousand Dollars (\$1,000.00) for single individuals, Two
8 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
9 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
10 is a legal business entity including limited and general
11 partnerships, corporations, subchapter S corporations and limited
12 liability companies, plus any suspended credits pursuant to
13 subparagraph d of paragraph 2 of subsection I of this section;
14 provided, if total credits claimed pursuant to this paragraph exceed
15 the cap amount established pursuant to paragraphs 1 and 2 of
16 subsection E of this section, the credit shall be equal to the
17 taxpayer's proportionate share of the cap for the taxable year, as
18 determined pursuant to subsection I of this section.

19 2. For any taxpayer who makes a contribution to an eligible
20 scholarship-granting organization and makes a written commitment to
21 contribute the same amount for an additional year, the credit for
22 the first year and the additional year shall be equal to seventy-
23 five percent (75%) of the total amount of the contribution made
24 during a taxable year, not to exceed the amounts established in

1 paragraph 1 of this subsection for the taxable year in which the
2 credit provided in this subsection is claimed. The taxpayer shall
3 provide evidence of the written commitment to the Oklahoma Tax
4 Commission at the time of filing the refund claim.

5 3. The credits authorized pursuant to the provisions of this
6 subsection shall be allocable to the partners, shareholders,
7 members, or other equity owners of a taxpayer that is authorized to
8 be treated as a partnership for purposes of federal income tax
9 reporting for the taxable year for which the tax credits authorized
10 by this subsection are claimed on the applicable return, together
11 with required schedules, forms or reports of the partners,
12 shareholders, members, or other equity owners of the taxpayer. Tax
13 credits which are allocated to such equity owners shall only be
14 limited in amount for the income tax return of a natural person or
15 persons based upon the limitation of the total credit amount to the
16 entity from which the tax credits have been allocated and shall not
17 be limited to One Thousand Dollars (\$1,000.00) for single
18 individuals or limited to Two Thousand Dollars (\$2,000.00) for
19 married persons filing a joint return.

20 4. On or before April 30, 2024, and once every two (2) years
21 thereafter, such scholarship-granting organization and educational
22 improvement grant organization shall electronically submit to the
23 Oklahoma Tax Commission, the Governor, President Pro Tempore of the
24 Senate, the Speaker of the House of Representatives, and the chairs

1 and vice chairs of the education committees of the Senate and House
2 of Representatives an audited financial statement for the
3 organization along with information detailing the benefits,
4 successes, or failures of the program, and make publicly available
5 on its website the financial statement and information submitted
6 pursuant to this paragraph.

7 C. 1. Except as provided in subsection G of this section,
8 after August 26, 2011, there shall be allowed a credit for any
9 taxpayer who makes a contribution to an eligible educational
10 improvement grant organization. Except as otherwise provided by
11 paragraph 2 of this subsection, the credit shall be equal to fifty
12 percent (50%) of the total amount of contributions made during a
13 taxable year, not to exceed One Thousand Dollars (\$1,000.00) for
14 single individuals, Two Thousand Dollars (\$2,000.00) for married
15 individuals filing jointly, or One Hundred Thousand Dollars
16 (\$100,000.00) for any taxpayer which is a legal business entity
17 including limited and general partnerships, corporations, subchapter
18 S corporations and limited liability companies, plus any suspended
19 credits pursuant to subparagraph d of paragraph 2 of subsection I of
20 this section; provided, if total credits claimed pursuant to this
21 paragraph exceed the cap amount established pursuant to paragraphs 3
22 and 4 of subsection E of this section, the credit shall be equal to
23 the taxpayer's proportionate share of the cap for the taxable year,
24 as determined pursuant to subsection I of this section.

1 2. For any taxpayer who makes a contribution to an eligible
2 educational improvement grant organization and makes a written
3 commitment to contribute the same amount for an additional year, the
4 credit for the first year and the additional year shall be equal to
5 seventy-five percent (75%) of the total amount of the contribution
6 made during a taxable year, not to exceed the cap amount established
7 in paragraphs 3 and 4 of subsection E of this section for the
8 taxable year in which the credit provided in this paragraph is
9 claimed; provided, if total credits claimed pursuant to this
10 paragraph exceed the cap established pursuant to paragraphs 3 and 4
11 of subsection E of this section, the credit shall be equal to the
12 taxpayer's proportionate share of the cap for the taxable year, as
13 determined pursuant to subsection I of this section. The taxpayer
14 shall provide evidence of the written commitment to the Oklahoma Tax
15 Commission at the time of filing the refund claim.

16 3. The credits authorized pursuant to the provisions of this
17 subsection shall be allocable to the partners, shareholders,
18 members, or other equity owners of a taxpayer that is authorized to
19 be treated as a partnership for purposes of federal income tax
20 reporting for the taxable year for which the tax credits authorized
21 by this subsection are claimed on the applicable return, together
22 with required schedules, forms, or reports of the partners,
23 shareholders, members, or other equity owners of the taxpayer. Tax
24 credits which are allocated to such equity owners shall only be

1 limited in amount for the income tax return of a natural person or
2 persons based upon the limitation of the total credit amount to the
3 entity from which the tax credits have been allocated and shall not
4 be limited to One Thousand Dollars (\$1,000.00) for single
5 individuals or limited to Two Thousand Dollars (\$2,000.00) for
6 married persons filing a joint return.

7 D. 1. For contributions made on or after January 1, 2022,
8 there shall be allowed a credit for any taxpayer who makes a
9 contribution to an eligible public school foundation or public
10 school district. Except as otherwise provided by paragraph 2 of
11 this subsection, the credit shall be equal to fifty percent (50%) of
12 the total amount of contributions made during a taxable year, not to
13 exceed One Thousand Dollars (\$1,000.00) for single individuals, Two
14 Thousand Dollars (\$2,000.00) for married individuals filing jointly,
15 or One Hundred Thousand Dollars (\$100,000.00) for any taxpayer which
16 is a legal business entity including limited and general
17 partnerships, corporations, subchapter S corporations and limited
18 liability companies; provided, if total credits claimed pursuant to
19 this paragraph exceed the cap amount established pursuant to
20 paragraph 4 of subsection E of this section, the credit shall be
21 equal to the taxpayer's proportionate share of the cap for the
22 taxable year, as determined pursuant to subsection I of this
23 section.

1 2. Except as otherwise provided by paragraph 1 of this
2 subsection, for any taxpayer who makes a contribution to an eligible
3 public school foundation or public school district and makes a
4 written commitment to contribute the same amount for an additional
5 year, the credit for the first year and the additional year shall be
6 equal to seventy-five percent (75%) of the total amount of the
7 contribution made during a taxable year, not to exceed the cap
8 amount established in paragraph 4 of subsection E of this section
9 for the taxable year in which the credit provided in this paragraph
10 is claimed. The taxpayer shall provide evidence of the written
11 commitment to the Oklahoma Tax Commission at the time of filing the
12 refund claim; provided, if total credits claimed pursuant to this
13 paragraph exceed the cap amount established pursuant to paragraph 4
14 of subsection E of this section, the credit shall be equal to the
15 taxpayer's proportionate share of the cap for the taxable year, as
16 determined pursuant to subsection I of this section.

17 3. The credits authorized pursuant to the provisions of this
18 subsection shall be allocable to the partners, shareholders,
19 members, or other equity owners of a taxpayer that is authorized to
20 be treated as a partnership for purposes of federal income tax
21 reporting for the taxable year for which the tax credits authorized
22 by this subsection are claimed on the applicable return, together
23 with required schedules, forms, or reports of the partners,
24 shareholders, members, or other equity owners of the taxpayer. Tax

1 credits which are allocated to such equity owners shall only be
2 limited in amount for the income tax return of a natural person or
3 persons based upon the limitation of the total credit amount to the
4 entity from which the tax credits have been allocated and shall not
5 be limited to One Thousand Dollars (\$1,000.00) for single
6 individuals or limited to Two Thousand Dollars (\$2,000.00) for
7 married persons filing a joint return.

8 4. On or before April 30, 2024, and once every four (4) years
9 thereafter, such eligible public school foundation and public school
10 district shall submit to the Oklahoma Tax Commission, the Governor,
11 President Pro Tempore of the Senate, and the Speaker of the House of
12 Representatives an audited financial statement for the organization
13 along with information detailing the benefits, successes, or
14 failures of the programs.

15 E. Except as otherwise provided pursuant to subsection I of
16 this section:

17 1. The total credits authorized pursuant to subsection B of
18 this section for all taxpayers for tax years 2017 through 2021 shall
19 not exceed Three Million Five Hundred Thousand Dollars
20 (\$3,500,000.00) annually;

21 2. The total credits authorized pursuant to subsection B of
22 this section for all taxpayers for tax years 2022 and subsequent tax
23 years shall not exceed Twenty-five Million Dollars (\$25,000,000.00)
24 annually;

1 3. The total credits authorized pursuant to subsection C of
2 this section for all taxpayers for tax years 2017 through 2021 shall
3 not exceed One Million Five Hundred Thousand Dollars (\$1,500,000.00)
4 annually;

5 4. The total credits authorized pursuant to subsections C and D
6 of this section for all taxpayers for tax year 2022 and subsequent
7 tax years shall not exceed Twenty-five Million Dollars
8 (\$25,000,000.00) annually. In addition to the cap amount prescribed
9 by this paragraph, the credit amount shall also be limited to Two
10 Hundred Thousand Dollars (\$200,000.00) of credits per public school
11 district annually; and

12 5. The cap on total credits provided for in this subsection
13 shall be allocated by the Tax Commission as provided in subsection I
14 of this section.

15 F. For credits claimed for eligible contributions made during
16 tax year 2014 and thereafter, a credit shall not be allowed by the
17 Oklahoma Tax Commission for contributions made to a scholarship-
18 granting organization or an educational improvement grant
19 organization if that organization's percentage of funds actually
20 awarded is less than ninety percent (90%). For purposes of this
21 section, the "percentage of funds actually awarded" shall be
22 determined by dividing the total amount of funds actually awarded as
23 educational scholarships or educational improvement grants over the
24 most recent twenty-four (24) months by the total amount available to

1 award as educational scholarships or educational improvement grants
2 over the most recent twenty-four (24) months.

3 G. Any tax credits which are earned by a taxpayer pursuant to
4 this section during the time period beginning August 26, 2011,
5 through December 31, 2012, may not be claimed for any period prior
6 to the taxable year beginning January 1, 2013. No credits which
7 accrue during the time period beginning August 26, 2011, through
8 December 31, 2012, may be used to file an amended tax return for any
9 taxable year prior to the taxable year beginning January 1, 2013.

10 H. As used in this section:

11 1. "Eligible student" means a child of school age who is
12 lawfully present in the United States and who is a member of a
13 household in which the total annual income during the preceding tax
14 year does not exceed an amount equal to three hundred percent (300%)
15 of the income standard used to qualify for a free or reduced-price
16 school lunch or who, during the immediately preceding school year,
17 attended or, by virtue of the location of such student's place of
18 residence, was eligible to attend a public school in this state
19 which has been identified for school improvement as determined by
20 the State Board of Education pursuant to the requirements of the No
21 Child Left Behind Act of 2001, P.L. No. 107-110. Once a student has
22 received an educational scholarship, as defined in paragraph 3 of
23 this subsection, the student and any siblings who are members of the
24 same household shall remain eligible until they graduate from high

1 school or reach twenty-one (21) years of age, whichever occurs
2 first;

3 2. "Eligible special needs student" means a child who has been
4 provided services under an Individualized Family Service Plan
5 through the SoonerStart program and during transition was evaluated
6 and determined to be eligible for school district services, a child
7 of school age who has attended public school in our state with an
8 individualized education program pursuant to the Individuals With
9 Disabilities Education Act, 20 U.S.C.A., Section 1400 et seq., or a
10 child who has been diagnosed by a clinical professional as having a
11 significant disability that will affect learning and who has been
12 approved by the board of a scholarship-granting organization;

13 3. "Educational scholarships" means:

14 a. scholarships to an eligible student of up to Five
15 Thousand Dollars (\$5,000.00) or eighty percent (80%)
16 of the statewide annual average per-pupil expenditure
17 as determined by the National Center for Education
18 Statistics, U.S. Department of Education, whichever is
19 greater, to cover all or part of the tuition, fees,
20 and transportation costs of a qualified school which
21 is accredited by the State Board of Education or an
22 accrediting association approved by the Board pursuant
23 to Section 3-104 of Title 70 of the Oklahoma Statutes,
24

1 b. scholarships to an eligible student of up to Five
2 Thousand Dollars (\$5,000.00) or eighty percent (80%)
3 of the statewide annual average per-pupil expenditure
4 as determined by the National Center for Education
5 Statistics, U.S. Department of Education, whichever is
6 greater, to cover the educational costs of a qualified
7 school which does not charge tuition, which enrolls
8 special populations of students, and which is
9 accredited by the State Board of Education or an
10 accrediting association approved by the Board pursuant
11 to Section 3-104 of Title 70 of the Oklahoma Statutes,
12 or

13 c. scholarships to an eligible special needs student of
14 up to Twenty-five Thousand Dollars (\$25,000.00) to
15 cover all or part of the tuition, fees, and
16 transportation costs of a qualified school for
17 eligible special needs students which is accredited by
18 the State Board of Education or an accrediting
19 association approved by the Board pursuant to Section
20 3-104 of Title 70 of the Oklahoma Statutes;

21 4. "Low-income eligible student" means an eligible student or
22 eligible special needs student who qualifies for a free or reduced-
23 price lunch;
24

1 5. "Qualified school" means an early childhood, elementary, or
2 secondary private school in this state including schools which
3 provide special educational programs for three-year-olds or
4 prekindergarten educational programs for four-year-olds, which:

- 5 a. is accredited by the State Board of Education or an
6 accrediting association approved by the Board pursuant
7 to Section 3-104 of Title 70 of the Oklahoma Statutes,
- 8 b. is in compliance with all applicable health and safety
9 laws and codes,
- 10 c. has a stated policy against discrimination in
11 admissions on the basis of race, color, national
12 origin, or disability, and
- 13 d. ensures academic accountability to parents and
14 guardians of students through regular progress
15 reports;

16 6. "Qualified school for eligible special needs students" means
17 an early childhood, elementary, or secondary private school in a
18 county in this state including schools which provide special
19 educational programs for three-year-olds or prekindergarten
20 educational programs for four-year-olds;

21 7. "Scholarship-granting organization" means an organization
22 which:
23
24

- 1 a. is a nonprofit entity exempt from taxation pursuant to
2 the provisions of the Internal Revenue Code, 26
3 U.S.C., Section 501(c)(3),
- 4 b. (1) distributes periodic scholarship payments as
5 checks made out to an eligible student's or
6 eligible special needs student's parent or
7 guardian and mailed to the qualified school where
8 the student is enrolled, or
9 (2) awards grants for capital improvement projects to
10 qualified schools that would increase the
11 instructional capacity of the qualified school,
- 12 c. spends no more than ten percent (10%) of its annual
13 revenue on expenditures other than educational
14 scholarships as defined in paragraph 3 of this
15 subsection or grants for capital improvement projects
16 as defined in paragraph 16 of this subsection,
- 17 d. spends each year a portion of its expenditures on
18 educational scholarships for low-income eligible
19 students, as defined in paragraph 4 of this
20 subsection, in an amount equal to or greater than the
21 percentage of low-income eligible students in the
22 state,
- 23 e. ensures that scholarships are portable during the
24 school year and can be used at any qualified school

1 that accepts the eligible student or at any qualified
2 school for special needs students that accepts the
3 eligible special needs student,

4 f. registers with the Oklahoma Tax Commission as a
5 scholarship-granting organization, and

6 g. has policies in place to:

7 (1) carry out criminal background checks on all
8 employees and board members to ensure that no
9 individual is involved with the organization who
10 might reasonably pose a risk to the appropriate
11 use of contributed funds, and

12 (2) maintain full and accurate records with respect
13 to the receipt of contributions and expenditures
14 of those contributions and supply such records
15 and any other documentation required by the Tax
16 Commission to demonstrate financial
17 accountability;

18 8. "Annual revenue" means the total amount or value of
19 contributions received by an organization from taxpayers awarded
20 credits during the organization's fiscal year and all amounts earned
21 from interest or investments;

22 9. "Public school" means public schools as defined in Section
23 1-106 of Title 70 of the Oklahoma Statutes;

24 10. "Eligible public school district" means any public school;

1 11. "Early childhood education program" means a special
2 educational program for eligible special needs students who are
3 three (3) years of age or a prekindergarten educational program
4 provided to children who are at least four (4) years of age but not
5 more than five (5) years of age on or before September 1;

6 12. "Innovative educational program" means an advanced academic
7 or academic improvement program that is not part of the regular
8 coursework of a public school but that enhances the curriculum or
9 academic program of the school or provides early childhood education
10 programs to students;

11 13. "Educational improvement grant" means a grant to an
12 eligible public school to implement:

- 13 a. an innovative educational program for students
14 including the ability for multiple public schools to
15 make an application and be awarded a grant to jointly
16 provide an innovative educational program,
17 b. the provisions of the Strong Readers Act, or
18 c. the provisions of Oklahoma Math Achievement and
19 Proficiency Act;

20 14. "Educational improvement grant organization" means an
21 organization which:

- 22 a. is a nonprofit entity exempt from taxation pursuant to
23 the provisions of the Internal Revenue Code, 26
24 U.S.C., Section 501(c) (3), and

b. contributes at least ninety percent (90%) of its annual receipts as grants to eligible schools for ~~innovative educational programs~~ educational improvement grants as defined in paragraph 13 of this subsection or capital improvement projects as defined in paragraph 16 of this subsection. For purposes of this subparagraph, an educational improvement grant organization contributes its annual cash receipts when it expends or otherwise irrevocably encumbers those funds for expenditure during the then current fiscal year of the organization or during the next succeeding fiscal year of the organization; ~~and~~

15. "Eligible public school foundation" means a nonprofit entity formed pursuant to the laws of this state and is exempt from federal income taxation pursuant to either Section 501(c)(3) or Section 509(a) of the Internal Revenue Code of 1986, as amended. Each public school foundation must be approved by the local board of education prior to accepting qualifying donations; and

16. "Capital improvement project" means any capital improvement project that would increase the instructional capacity of a school.

I. Total credits authorized by this section shall be allocated as follows:

1. By January 10 of the year immediately following each calendar year, a scholarship-granting organization, an educational

1 improvement grant organization, an eligible public school
2 foundation, or public school district which accepts contributions
3 pursuant to this section shall provide electronically to the Tax
4 Commission information on each contribution accepted during such
5 taxable year. At least once each taxable year, the entity making
6 the report shall notify each contributor that Oklahoma law provides
7 for a total, statewide cap on the amount of income tax credits
8 allowed annually;

9 2. a. If the Tax Commission determines the total combined
10 credits claimed for contributions made to scholarship-
11 granting organizations during the most recently
12 completed calendar year by all taxpayers are in excess
13 of the statewide cap amount provided in paragraphs 1
14 and 2 of subsection E of this section, the Tax
15 Commission shall first allocate any amount of credits
16 not claimed for contributions made to organizations
17 authorized pursuant to subsections C and D of this
18 section, then shall determine the percentage of the
19 contribution which establishes the proportionate share
20 of the credit which may be claimed by any taxpayer so
21 that the total maximum credits authorized by this
22 section are not exceeded.

23 b. If the Tax Commission determines the total combined
24 credits claimed for contributions made to

1 organizations authorized pursuant to subsections C and
2 D of this section during the most recently completed
3 calendar year by all taxpayers are in excess of the
4 statewide cap amount provided in paragraphs 3 and 4 of
5 subsection E of this section, the Tax Commission shall
6 first allocate any amount of credits not claimed for
7 contributions made to scholarship-granting
8 organizations, then shall determine the percentage of
9 the contribution which establishes the proportionate
10 share of the credit which may be claimed by any
11 taxpayer so that the maximum credits authorized by
12 this section are not exceeded.

13 c. If the Tax Commission determines the total combined
14 credits claimed for contributions made to
15 organizations authorized pursuant to subsections C and
16 D of this section during the most recently completed
17 calendar year by all taxpayers are in excess of the
18 per public school district cap pursuant to paragraph 4
19 of subsection E of this section, the Tax Commission
20 shall first allocate any amount of credits not claimed
21 for contributions made to other organizations
22 authorized pursuant to subsections C and D of this
23 section, then shall determine the percentage of the
24 contribution which establishes the proportionate share

1 of the credit which may be claimed by any taxpayer so
2 that the maximum credits authorized by this section
3 are not exceeded.

4 d. Beginning for tax year 2016, credits earned, but not
5 allowed due to the application of statewide caps
6 provided in subsection E of this section will be
7 considered suspended and authorized to be used in the
8 next immediate tax year and applied to the next year's
9 statewide cap; and

10 3. The Tax Commission shall publish the percentage of the
11 contribution which may be claimed as a credit by contributors for
12 the most recently completed calendar year on the Tax Commission
13 website no later than February 15 of each calendar year for
14 contributions made the previous year. Each organization authorized
15 pursuant to subsections B, C, and D of this section shall notify
16 contributors of that amount annually.

17 J. No tax credits authorized by this section shall be used to
18 reduce the tax liability of the taxpayer to less than zero (0).

19 K. Any credits authorized by this section allowed but not used
20 in any tax year may be carried over, in order, to each of the three
21 (3) years following the year of qualification.

22 L. 1. In order to qualify under this section, each
23 organization authorized pursuant to subsections C and D of this
24

1 section shall submit an application with information to the Oklahoma
2 Tax Commission on a form prescribed by the Tax Commission that:

- 3 a. enables the Tax Commission to confirm that the
4 organization is a nonprofit entity exempt from
5 taxation pursuant to the provisions of the Internal
6 Revenue Code, 26 U.S.C., Section 501(c)(3) or Section
7 509(a), and
- 8 b. describes the proposed ~~innovative educational program~~
9 ~~or programs~~ educational improvement grant or grants to
10 be awarded to a qualifying public school and the
11 intended use of the grant or grants or the proposed
12 capital improvement project or projects supported by
13 the organization.

14 2. The Tax Commission shall review and approve or disapprove
15 the application, in consultation with the State Department of
16 Education.

17 3. In order to maintain eligibility under this section, an
18 organization authorized pursuant to subsections C and D of this
19 section shall annually report the following information to the Tax
20 Commission and publish on its website by September 1 of each year:

- 21 a. the name of the ~~innovative educational program or~~
22 ~~programs~~ educational improvement grant or grants or
23 the capital improvement project or projects and the
24

- 1 total amount of the grant or grants made ~~to those~~
2 ~~programs~~ during the immediately preceding school year,
- 3 b. a description of how each grant was utilized during
4 the immediately preceding school year and a
5 description of any demonstrated or expected ~~innovative~~
6 educational improvements or increase to instructional
7 capacity,
- 8 c. the names of the public school and school districts
9 ~~where innovative educational programs~~ that received
10 grants during the immediately preceding school year
11 and what programs or provisions were implemented with
12 grant funds or where capital improvement projects that
13 received grants during the immediately preceding
14 school year were located and the progress of the
15 projects,
- 16 d. where the organization collects information on a
17 county-by-county basis, and
- 18 e. the total number and total amount of grants made
19 during the immediately preceding school year for
20 ~~innovative educational programs~~ educational
21 improvement or capital improvement projects at public
22 school by each county in which the organization made
23 grants.
- 24

1 4. The information required under paragraph 3 of this
2 subsection shall be submitted on a form provided by the Tax
3 Commission. No later than May 1 of each year, the Tax Commission
4 shall annually distribute sample forms together with the forms on
5 which the reports are required to be made to each approved
6 organization.

7 5. The Tax Commission shall not require any other information
8 be provided by an organization, except as expressly authorized in
9 this section.

10 M. 1. Beginning in 2023 for the 2022-2023 academic year, in
11 order to maintain registration, a scholarship-granting organization
12 shall annually report to the Tax Commission by September 1 of each
13 year the following information regarding the educational
14 scholarships and grants for capital improvement projects funded by
15 the organization in the previous academic year:

16 a. the name and address of the scholarship-granting
17 organization,

18 b. the names of the qualifying schools that received
19 funding for educational scholarships, the total amount
20 of funds paid to each qualifying school, and the total
21 number of scholarship recipients enrolled in each
22 qualifying school,

- 1 c. the total number and total dollar amount of
2 contributions received during the previous academic
3 year,
- 4 d. the total number and total dollar amount of
5 educational scholarships awarded and funded during the
6 previous academic year,
- 7 e. the total number, total dollar amount, and percentage
8 of educational scholarships awarded and funded during
9 the previous academic year disaggregated into the
10 following categories:
- 11 (1) low-income eligible students,
- 12 (2) students who during the immediately preceding
13 school year attended or who were eligible by
14 virtue of the residence of the student to attend
15 a public school in the state which was identified
16 for school improvement by the State Board of
17 Education,
- 18 (3) eligible special needs students, and
- 19 (4) students who were first-time recipients of a
20 scholarship including information about the type
21 of public or private school the student was
22 enrolled in during the entire previous academic
23 year,
- 24

- 1 f. the percentage of annual revenue received by the
2 organization from donations which qualify for tax
3 credits pursuant to this section which was not
4 expended on scholarships or grants for capital
5 improvement projects,
- 6 g. disaggregated data reported under this subsection
7 shall be redacted if reporting would allow for
8 identification of specific children, and shall be
9 reported in accordance with the Student Data
10 Accessibility, Transparency and Accountability Act of
11 2013, division b of subparagraph 2 of subsection C of
12 Section 3-168 of Title 70 of the Oklahoma Statutes,
13 and the Family Educational Rights and Privacy Act of
14 1974 (FERPA), 20 U.S.C., Section 1232g, ~~and~~
- 15 h. the percentage of the total amount of education
16 scholarship expenditures spent on low-income eligible
17 students,
- 18 i. the names of the qualified schools awarded grants for
19 capital improvement projects and the total amount of
20 the grants made to those qualified schools during the
21 immediately preceding school year,
- 22 j. a description of each capital improvement project and
23 the increased capacity the project will provide to the
24 qualified school, and

1 k. the total number and total amount of grants awarded
2 during the immediately preceding school year.

3 2. The Tax Commission shall make available on its website:

4 a. the information submitted by the scholarship-granting
5 organization pursuant to paragraph 1 of this
6 subsection,

7 b. a list of participating schools, and

8 c. all other application information submitted to the Tax
9 Commission by a scholarship-granting organization,
10 except that information which would violate the
11 privacy of an individual.

12 3. A scholarship-granting organization shall annually submit
13 verification to the Tax Commission that the organization still meets
14 the criteria set forth in paragraph 7 of subsection H of this
15 section.

16 N. Contributions made pursuant to subsections B, C, and D of
17 this section shall not be used by the Legislature to reduce the
18 amount appropriated for the financial support of public schools.

19 O. In consultation with the State Department of Education, the
20 Tax Commission shall promulgate rules necessary to implement the
21 Oklahoma Equal Opportunity Education Scholarship Act. The rules
22 shall include procedures for the registration of a scholarship-
23 granting organization, an educational improvement grant
24 organization, a public school foundation, or public school district

1 for purposes of determining if the organization meets the
2 requirements of the Oklahoma Equal Opportunity Education Scholarship
3 Act or for the revocation of the registration of an organization, if
4 applicable, and for notice as required in subsection I of this
5 section.

6 SECTION 2. This act shall become effective July 1, 2026.

7 SECTION 3. It being immediately necessary for the preservation
8 of the public peace, health or safety, an emergency is hereby
9 declared to exist, by reason whereof this act shall take effect and
10 be in full force from and after its passage and approval.

11 Passed the House of Representatives the 24th day of March, 2026.

12

13

Presiding Officer of the House
of Representatives

15

16 Passed the Senate the ____ day of _____, 2026.

17

18

Presiding Officer of the Senate

19

20

21

22

23

24